

Module 2

Service relationships

Syllabus



1.4 Service relationships

- 1.4.1 Define organization, service provider, service consumer, and digital product vendor as key concepts of service relationships (3.2.1)
- 1.4.2 Define basic, cooperative, and collaborative (partnership) service relationship as key concepts of service relationships (3.2, 3.2.2)
- 1.4.3 Define the service journey as a key concept of service relationships (3.2.3)
- 1.4.4 Define sponsor, customer, and user roles as key concepts of service relationships (3.2.1.1)
- 1.4.5 Define service quality and service level as key concepts of service relationships (3.2.4)
- 1.4.6 Define Service Level Agreement (SLA) as a key concept of service relationships (3.2.5)
- 1.4.7 Understand the role of service provider, service consumer, and digital product vendor in service relationships (3.2.1)
- 1.4.8 Understand the difference between basic, cooperative, and collaborative (partnership) service relationships (3.2.3)
- 1.4.9 Explain utility, warranty, user experience, and sustainability as key concepts of service relationships (3.2.4, 3.2.4, 3.2.3, 3.2.4)



What you will learn



By the end of this module, you will be able to:

- explain how utility, warranty, user experience, and sustainability contribute to value co-creation
- define key service relationship concepts, including service provider, service consumer, digital product vendor, service journey, service quality, service level, and Service Level Agreement (SLA)
- define basic, cooperative, and collaborative service relationships
- understand the differences between service providers, service consumers, and digital product vendors
- understand the differences between basic, cooperative, and collaborative service relationships.

Organizations



Organization

A person or a group of people that has its own functions with responsibilities, authorities, and relationships to achieve its objectives.

Whole legal entity:

An organization may be an entire legal entity, such as a company.

Part of an entity:

It may also be part of a legal entity, such as one or several teams within a company.

Group of entities:

An organization can be a group of legal entities (a group of companies), or a mix of these variations.

Size and type:

It may be a self-employed individual, a multinational corporation, or anything in between.

In service relationships, an organization may act as a **service provider** or a **service consumer**.

Providers, consumers, and vendors

Organizations may act as service providers, service consumers, or digital product vendors within service relationships.



Service provider

An organization responsible for delivery and support of services.



Service consumer

An organization responsible for procurement and use of services.



Digital product vendor

An organization responsible for the creation and continual improvement of digital products and related service offerings.



Roles in managing, delivering, and consuming services

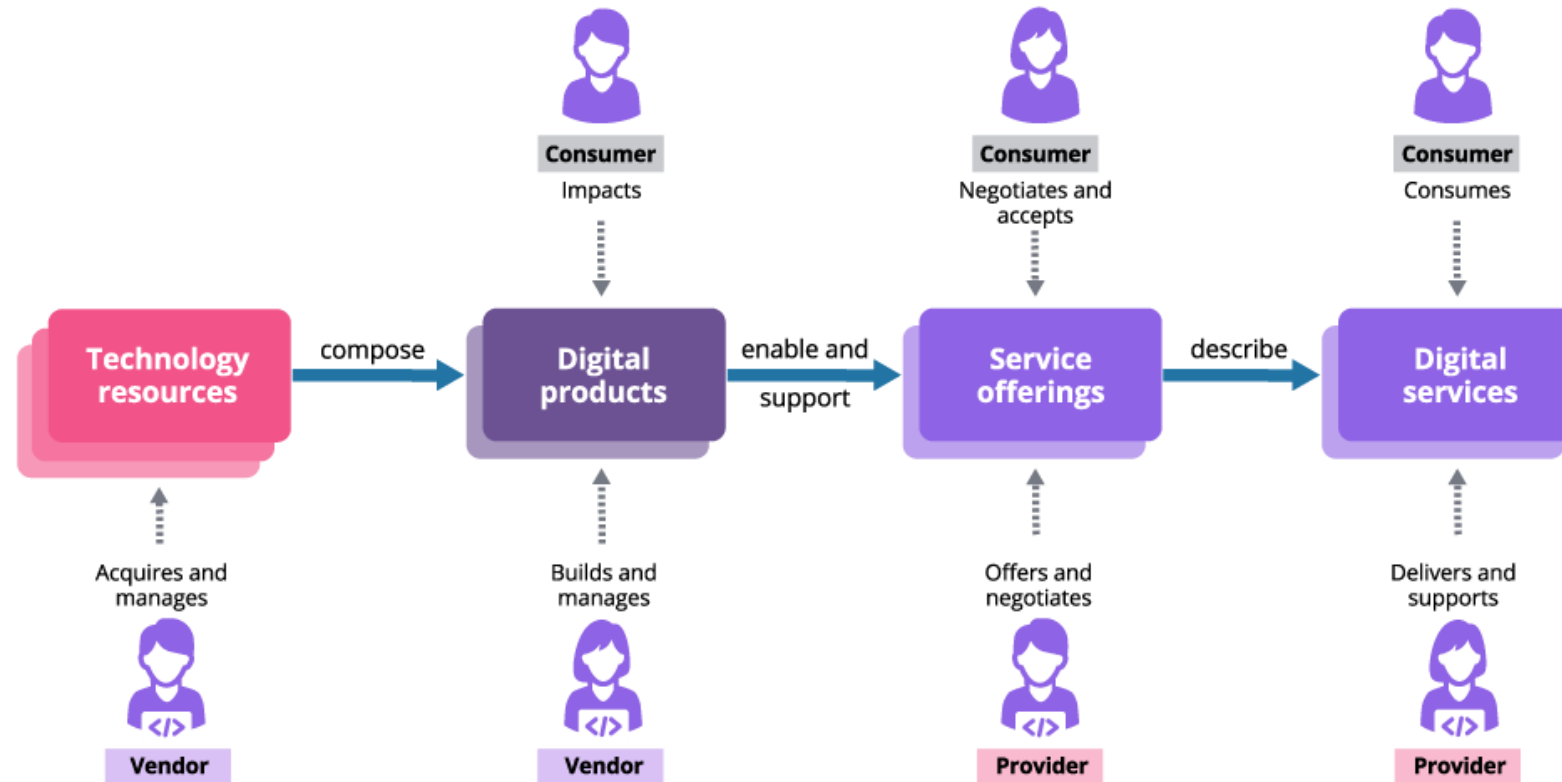


Figure 3.4 Different organizations' roles in management, delivery, and consumption of products and services

Service consumer roles

Each of these roles may have **different**, and sometimes even conflicting, **expectations** from services and have **different definitions of value**.

Sponsor

The role that authorizes budget for service consumption.



Customer

The role that defines the requirements for products and services and takes responsibility for the outcomes of service consumption.



User

The role that uses services.

Consumer roles example

A company acquires mobile phone services for employees. Roles are distributed as follows:

Sponsors

(CFO)



- Review arrangement
- Approve costs

Customers

(CIO and communications team)



- Analyse requirements
- Negotiate contract
- Monitor performance

Users

(Employees including CIO,
CFO, team)



- Order, receive, and use services

The service relationship model

Organizations engage in service relationships, forming chains and networks, where each organization acts as a service consumer for multiple providers and a service provider for multiple consumers.

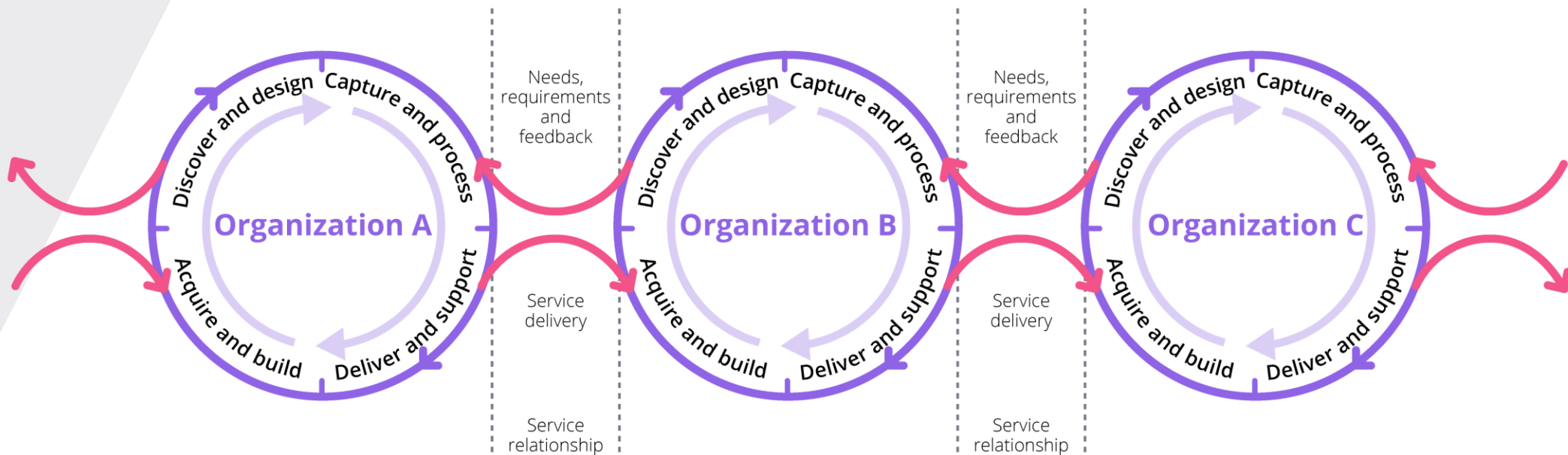


Figure 1.5 The ITIL Service Relationship Model

ITIL Car Rental | Types of service relationships



Max: At ITIL Car Rental, we maintain several types of relationships. With our cleaning provider, we have a cooperative relationship, working closely to coordinate cleaning schedules.

With our charging network providers, our relationship is more basic: we align on technical integration and user access, but they operate independently under a standard subscription contract. In contrast, with the manufacturer of our driverless vehicles (a strategic partner of ours), we have a fully collaborative relationship.

We have integrated their autonomous system directly into our app and we work together to plan updates, test new features, and align on user experience design.

Types of service relationships

Service relationships involve:

- sharing resources, data, and sometimes reputation
- engagement varies by sharing and dependency
- three types: **basic, cooperative, collaborative (partnership).**



Basic, cooperative, and collaborative

Adapted from Table 3.1 Types of service relationships

	Basic relationship	Cooperative relationship	Collaborative relationship (partnership)
Typical focus	Support and efficiency	Improvement and effectiveness	Innovation and growth
Typical organizational level involved in the relationship	Operational	Operational and tactical	Operational, tactical, and strategic
Typical service types	Commercial off-the-shelf services, out-of-the-box services, highly standardized commodity services, or goods supply	Services that must be configured or customized to fulfil the needs of the service consumer	Custom or bespoke services with unique value propositions
Typical types of service agreement	Standard contracts, Service Level Agreements (SLAs), and experience-based agreements mostly for mass market	Advanced SLAs, experience-based agreements, or outcome-based agreements	Bespoke contracts, outcome-based agreements, or no formal agreement

Service journey (1/2)

Service journey

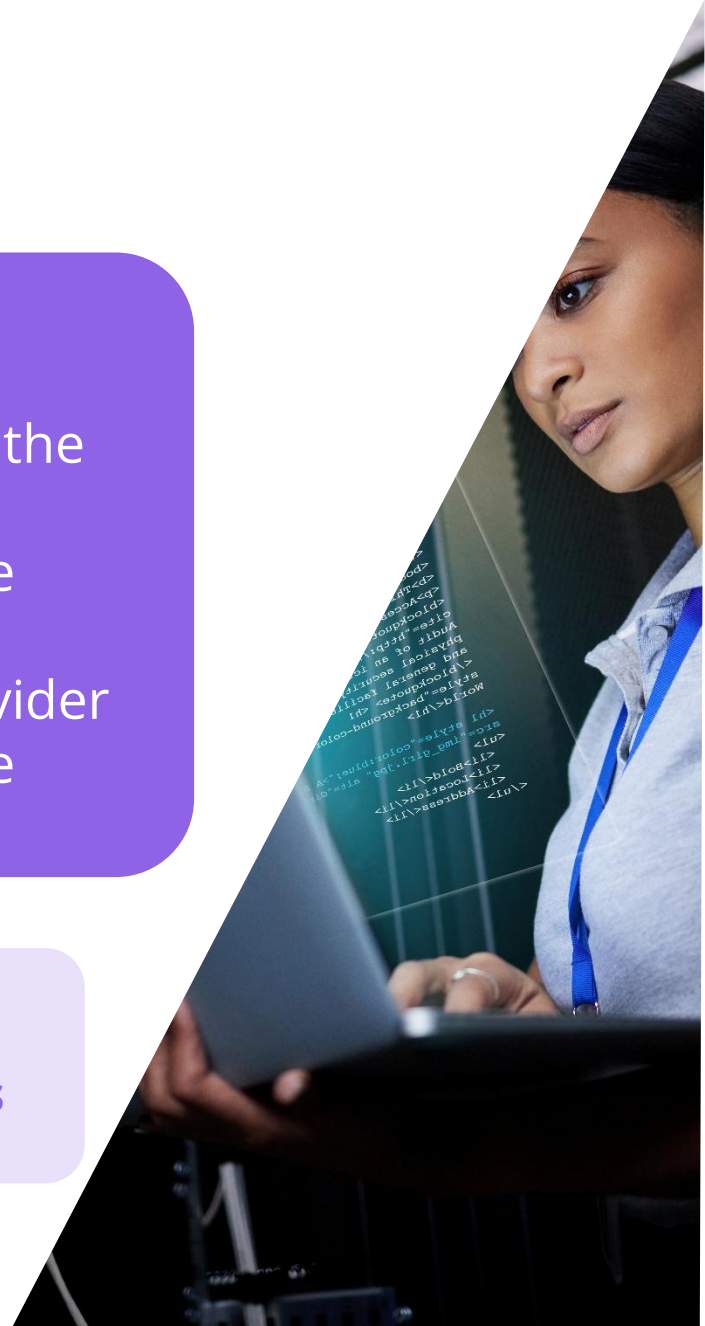
The sum of activities and interactions performed by organizations engaged in service relationships to fulfil their roles as a service provider and a service consumer.



Band of visibility

The sum of the aspects of the service consumer organizations visible to the service provider, and the aspects of the service provider organizations visible to the service consumer.

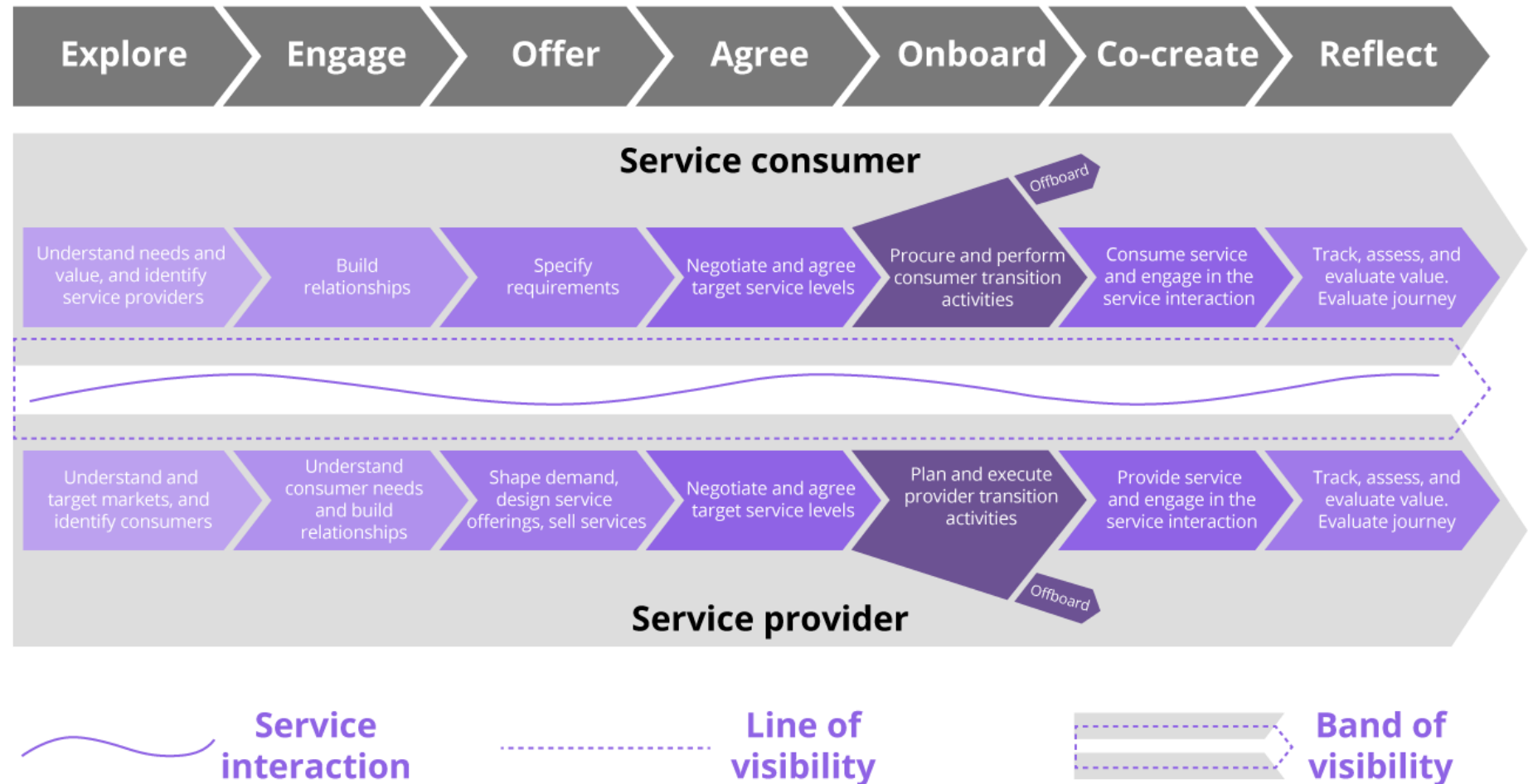
The service journey and the band of visibility are closely related but describe **different aspects** of a service relationship. The service journey focuses on **what happens** over time. In contrast, the band of visibility focuses on **what is seen**.



Service journey (2/2)



These steps are **not** always sequential and can occur in **different order** or even **simultaneously**.



Service quality and service level

Service quality

The sum of the characteristics of a service that are relevant to its ability to satisfy stated and implied needs.



Service level

A set of metrics that define expected or achieved service quality.

- Managed by translating expectations into metrics.
- Metrics define the service level of a service.

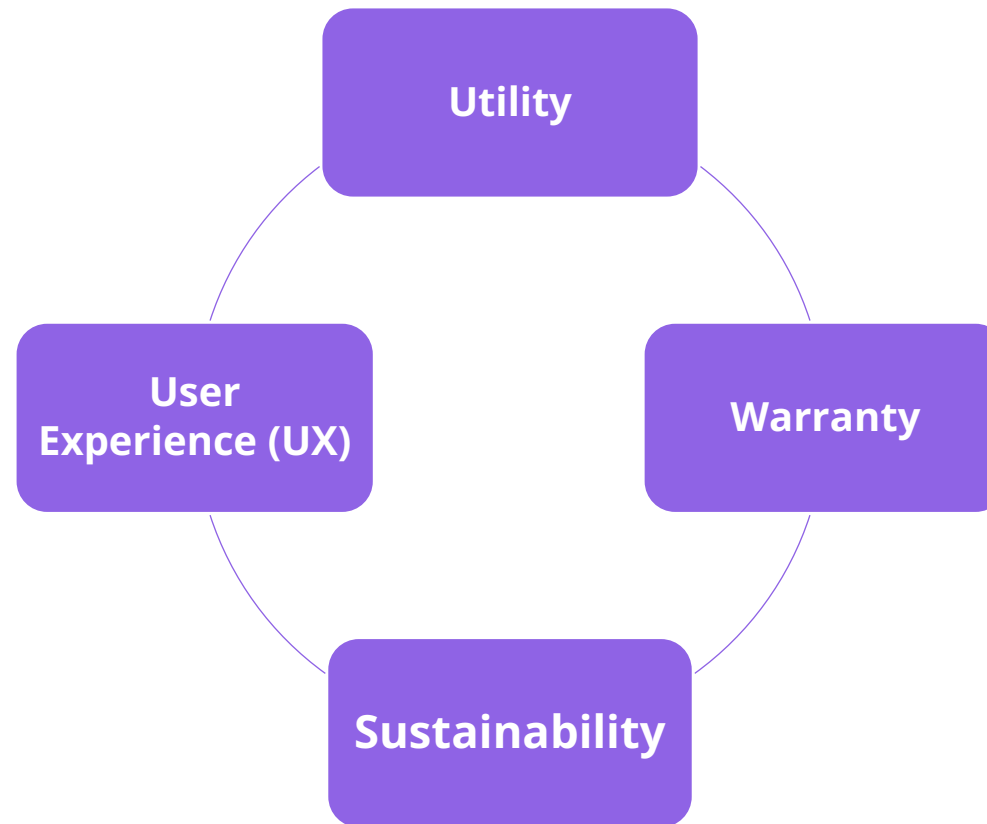
- Four categories of service level metrics.
- All four apply to most services.
- Level of formality varies.



To understand how service levels are managed, we then look at the categories of service level metrics.

Service level metrics (1/3)

Service quality is measured through **service levels**. These service level metrics fall into four categories:



Service level metrics (2/3)

Utility

The functionality offered by a product or service to meet a particular need. Utility can be summarized as 'what the service does' and can be used to determine whether a service is 'fit for purpose'. To have utility, a service must either support the performance of the consumer or remove constraints from the consumer. Many services do both.



Warranty

The assurance that a product or service will meet the agreed requirements. Warranty can be summarized as 'how the service performs' and can be used to determine whether a service is 'fit for use'. Warranty often relates to service levels aligned with the needs of service consumers. This may be based on a formal agreement, or it may be a marketing message or brand image. Warranty typically addresses such areas as the availability of the service, its capacity, levels of security, and continuity. A service may be said to provide acceptable assurance, or 'warranty', if all defined and agreed conditions are met.

Service level metrics (3/3)

Sustainability

The assurance that a product or service meets and will continue to meet the requirements for environmental stewardship, social progress, and economic growth.



User experience (UX)

The sum of the functional and emotional interactions with a service and service provider as perceived by a service user.

Together, these four categories form a balanced view of service quality. No individual category is more important than the others, as all contribute to value and outcomes.



Service level agreements



Service Level Agreement (SLA)

A documented agreement between a service provider and a customer that identifies the services provided and the agreed level of each service.

- Key SLA considerations:
 - **Formality, scope,** and **customization** of SLA depend on service type and relationship.
 - Digital service SLAs should cover: **utility, warranty, sustainability.**
 - For user-facing services, include **user experience** metrics.



Service value = utility + warranty + sustainability + experience